

HSBC Holdings plc

Strong Wealth, Transaction Banking performance, but higher costs expected and buyback below expectations

HSBC reported a mixed set of 2Q results with underlying PBT 5% ahead of company-compiled consensus expectations, driven by a strong Fee performance (4% ahead) led by Wealth (7% ahead) and Transaction Banking (5% ahead), Banking NII (1% ahead), with costs in line and impairments slightly below. CET1 was 10bps below expectations at 14.1% and the announced \$1bn buyback disappointed against expectations of c\$2bn. FY26E Banking NII guidance has been upgraded to >\$46bn with consensus already there at \$46.5bn which may disappoint, assuming rates as of mid-July, while volume momentum remains strong with deposits +8% y/y and loans +5% y/y in 2Q. Wealth had a strong quarter at +21% y/y with \$25bn of net new money (inc. \$22bn Wealth assets) which is seasonally slower vs 1Q (\$39bn), while HK new to bank customers increased from 79k in April to 111k/106k in May/June respectively, showing limited impact from China ODI rules, in our view, which came in early July. Cost guidance remains unchanged at +1% FY26E (cons in line) although the Group notes that should performance continue, it may increase variable pay and costs in 2026. Further, the Group sees revenue opportunities for 2027 and may consider accelerating initiatives to support future growth vs consensus cost growth at +3% FY27E (vs JPMe +4%), partly offset by simplification cost saves which have been increased to c\$2bn (prev \$1.5bn) with no change to restructuring costs. Cost of risk was 41bps and included a stage 3 \$0.2bn charge for HK CRE. Overall, we expect LSD% upgrades to consensus expectations FY26E-28E driven by Fee momentum partly offset by higher FY26/27E costs, and expect a focus on the cost and distribution trajectory. We remain N with the stock trading on 11.3x PE, 2.0x PTNAV for a RoTE 18.7% 27E.

- **Noteworthy Areas:** 1) Banking NII of \$11.65bn was 1% above company-compiled consensus, with Customer lending +2% q/q (ccy) driven by strength across divisions with CIB, HK and UK (+\$6bn q/q each) and International Wealth (+\$2bn q/q), and Customer accounts +3% q/q led by CIB +\$42bn q/q, HK +\$9bn q/q and UK +\$3bn q/q while International Wealth (-\$7bn q/q) saw migration into invested assets. 2) Fee & Other income of \$7.4bn was 4% ahead of cons with a) Transaction Banking fee income 5% above cons (+7% y/y ccy), b) Wealth income 7% above cons (+21% y/y ccy) with growth in all products (including Investment Distribution +26% y/y, Private Bank +22% y/y, Insurance +21% y/y). The Group saw \$25bn of net new money (or 6% annualized net flow rate) including \$22bn in Asia (vs \$39bn/\$34bn in 1Q26 and \$25bn/24bn in 2Q25); Other income within Fees was in line with cons. Total insurance and bank SCM stands at \$17.2bn (o.w. \$15.7bn insurance). 3) Costs of \$8.44bn were in line with cons leading to PPOP of \$10.61bn 4% above cons. 4) Impairments of \$1.05bn (41bps CoR) were 1% below cons. 5) PBT (clean) of \$10.34bn was 5% ahead of cons while stated PBT of \$10.15bn was 7% above cons. 6) CET1 was 14.1% vs cons 14.2%, with RWAs 1% higher vs cons. DPS of 10c was in line with cons while Buyback of \$1bn was below expectations of \$1.5-2.0bn. 7) TNAV/Sh of \$9.36 (-10c q/q) vs cons \$9.39.
- **Outlook & Guidance: 2026:** 1) Banking NII adjusted to at least \$46bn (vs cons \$46.5bn, JPMe \$46.7bn) reflecting a continued favourable rate outlook

Neutral

HSBA.L, HSBA.LN

Price (03 Aug 26): 1,597p

Price Target (Dec-27): 1,380p

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(as of mid-July); 2) Cost growth unchanged at +c1% from a baseline of \$33.9bn (implied at \$34.2bn) vs cons \$34.3bn, although should strong business performance continue, the Group may consider additional performance-related pay; Total simplification saves have been increased to c\$2bn (prev \$1.5bn) o.w. \$1.5bn in 2026 (vs \$0.7bn previously) with no change to restructuring costs. For 2027, the Group sees revenue opportunities and will consider accelerating initiatives to support future growth, with cost growth partly offset by simplification saves (vs cons +3% cost growth 27E). 3) ECL of c45bps (cons 44bps); 4) CET1 14-14.5% target range; 5) Expected material notables: a) Singapore Insurance: \$1.8bn gain on disposal by 1H27. ~0.15% CET1 benefit by completion; b) Australia Retail Banking: \$(0.3)bn restructuring costs, \$(0.3)bn FX recycling loss by 2028. Minimal CET1 impact; c) Egypt Retail Banking: \$0.3bn gain on disposal in 2H27, immaterial CET1 impact.

- **Likely changes to consensus:** We expect LSD% upgrades to consensus expectations FY26E-28E driven by Fee momentum, partly offset by higher FY26/27E costs, with consensus already in line with upgraded FY26E Banking NII guidance.
- **Conference Call Details:** 7.45am UK [here](#).

Actual vs Expected:

Figure 1: HSBC - 2Q Group results

\$m

	2Q25	1Q26	2Q26e	2Q26 Cons	2Q26A	y/y	q/q	vs Cons.	vs JPMe
Banking NII	10,714	11,253	11,582	11,527	11,643	9%	3%	1%	1%
Fee and other income	6,943	7,872	7,153	7,091	7,400	7%	-6%	4%	3%
o.w. Transaction Banking	2,783	3,081	2,900	2,847	2,981	7%	-3%	5%	3%
o.w. Wealth	2,273	2,697	2,646	2,591	2,765	22%	3%	7%	5%
o.w. Other	1,887	2,094	1,607	1,653	1,654	-12%	-21%	0%	3%
Underlying revenues	17,657	19,125	18,735	18,618	19,043	8%	0%	2%	2%
Underlying costs	-8,268	-8,543	-8,425	-8,437	-8,436	2%	-1%	0%	0%
Pre-provision profit	9,389	10,582	10,310	10,181	10,607	13%	0%	4%	3%
Loan loss provision charge	-1,065	-1,301	-1,270	-1,066	-1,052	-1%	-19%	-1%	-17%
Operating profit before tax	8,324	9,281	9,040	9,115	9,555	15%	3%	5%	6%
Associate income	838	774	803	722	785	-6%	1%	9%	-2%
Clean pretax profit	9,162	10,055	9,844	9,837	10,340	13%	3%	5%	5%
Exceptionals	-2,836	-679	-270	-328	-194				
Pre-tax profit	6,326	9,376	9,574	9,509	10,146	60%	8%	7%	6%
DPS (\$)	0.10	0.10	0.10	0.10	0.10	0%	0%	0%	0%
TNAV/sh (\$)	9.17	9.46	9.31	9.39	9.36	2%	-1%	0%	1%
B3 CET1 ratio	14.6%	14.0%	14.2%	14.2%	14.1%				
Deposits	1,719	1,782	1,807	1,805	1,828	6%	3%	1%	1%
Customer loans	982	1,002	1,011	1,016	1,022	4%	2%	1%	1%
SBB	3,000	0	2,000	1,750	1,000	-67%		-43%	-50%
RoTE (ex notables)	17.7%	18.7%		18.6%	19.5%				
Loan-to-Deposit ratio	57.1%	56.2%	56.0%	56.3%	55.9%				

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Neutral; Price Target: 1,380p)

Investment Thesis

While we rate HSBC's management highly and believe the group is on the right strategic path over the longer term, we see the investment case as balanced with the stock rated Neutral and trading at a premium to UK/European peers '27, although with ongoing uncertainties including from the Middle East. We see the stability in the rate environment and improving volume growth driving Banking NII CAGR of 4% 25-28E, supported by hedge reinvestments in the near term. The outlook for Fee income is also positive supported by structural Asia trends, with total income growth expected at c4% 28E (vs 5% guidance) and c5% CAGR 25-28E. We see a disciplined trajectory for costs with the Group's \$1.5bn simplification plan ahead of plan and the cost re-allocation plan driving more investment into high growth areas (e.g. Wealth), driving cost CAGR of c4% 25-28E. Wealth remains a strong growth engine, which we forecast at a c12% CAGR, while we continue to highly value the Group's deposit gathering franchise. While CRE market trends are becoming more encouraging, risks remain, which we see as keeping CoR at the high end of normalised levels in the near term. Overall, we see underlying ROTE at c18-19% annually across 26-28E (vs targets of 17% or better), with buybacks likely to restart with 2Q and a total yield of c8% 27-28E

Valuation

Our sum-of-the-parts-based Dec-27 price target for HSBC of 1,380p is calculated using a blend of P/E (divisional and regional) on our 2028 estimates, with excess capital at 1x above 14% CT1.

HSBC SOP

£m

£ MILLION Division	Post Tax Profit 2028E	Allocated Equity 2028E	RWAs £ bn 2028E	RoE % 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Hong Kong	7,029	14,915	106.5	47.1		80,832	5.10	11.5x	5.4
UK	4,314	17,574	125.5	24.5		41,155	2.60	9.5x	2.3
Commercial & Institutional	5,561	48,081	343.4	11.6		50,049	3.16	9.0x	1.0
International Wealth and Premier	4,775	10,154	72.5	47.0		50,136	3.16	10.5x	4.9
Corporate Centre ex-Associates/JVs	257	10,165	72.6	2.5		2,567	0.16	10x	0.3
Associates and JVs	2,284				Market Value	13,796	0.87		
Minorities and prefs	124		0.0			1,241	0.08	10x	
Capital excess/ shortfall		921			1 times BV	921	0.06		1.0
HSBC Group Valuation (Dec-27)	24,344	101,809	720.629	23.9		240,696	13.80	9.9	2.4

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

- **Macro-economic risks:** HSBC is exposed to GDP growth in HK, SAR and Greater China and the UK, as well as FX and cross-border and political risks, which could pose both upside and downside risks. Similarly, the global interest rate and inflation outlook could have an impact on group margins, which may differ from expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth at the top end of normalised levels in the medium term – with both upside and downside risks to this. This includes specific areas such as China/HK CRE where there are early signs of a positive turn, but this remains volatile. Further, HSBC's stake in BoCom could present downside risk from a revaluation in the current environment.

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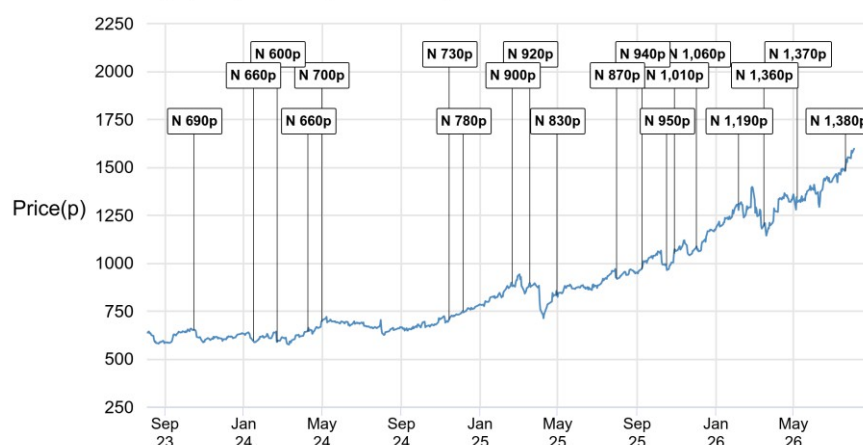
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HSBC Holdings plc (HSBA.L, HSBA LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
16-Oct-23	N	653	690
16-Jan-24	N	596	660
22-Feb-24	N	590	600
10-Apr-24	N	645	660
01-May-24	N	696	700
15-Nov-24	N	706	730
06-Dec-24	N	751	780
20-Feb-25	N	895	900
20-Mar-25	N	896	920
01-May-25	N	832	830
01-Aug-25	N	923	870
09-Sep-25	N	970	940
17-Oct-25	N	989	950
29-Oct-25	N	1050	1,010
02-Dec-25	N	1080	1,060
05-Feb-26	N	1308	1,190
17-Mar-26	N	1196	1,360
07-May-26	N	1343	1,370
21-Jul-26	N	1481	1,380

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